

26STCV11533 26STCV11533

County: los-angeles

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Case Number: 26STCV11533 Hearing Date: September 11, 2026 Dept: 511

Tentative Ruling

Judge Upinder S.

Kalra, Department 511

HEARING DATE: September

11, 2026

CASE NAME: Keith

Sidlo v. Mercury Insurance dba California Automobile Insurance Company

CASE NO.: 26STCV11533

DEMURRER

MOVING PARTY: Defendant

California Automobile Insurance Company

RESPONDING PARTY(S): Plaintiff Keith Sidlo

REQUESTED RELIEF:

1. Demurrer

to the third cause of action for failing to state sufficient facts and for uncertainty.

TENTATIVE RULING:

1. Demurrer

to the third cause of action is OVERRULED;

2. Defendant

to file their answer within 14 days of this ruling.

STATEMENT OF MATERIAL FACTS AND/OR PROCEEDINGS:

On April 9, 2026, Plaintiff Keith Sidlo (Plaintiff) filed a complaint against Defendant Mercury Insurance dba California Automobile Insurance Company (Defendant) with causes of action for: (1) breach of contract; (2) breach of the implied covenant of good faith and fair dealing; and (3) violation of Bus. & Prof. Code § 17200.

According to the complaint, Plaintiff was the named insured under Homeowner Insurance Policy No. CAHP0001162151 issued by Defendant. Plaintiff alleges the policy was effective from June 22, 2022 to June 22, 2023 and that he suffered a covered loss during this period. Plaintiff further alleges that Defendant unduly delayed in processing the claim, made only partial payments on the claim, unilaterally closed the claim, and other tactics.

On June 1, 2026, Defendant (appearing as California Automobile Insurance Company, erroneously sued as Mercury Insurance dba California Automobile Insurance Company) filed the instant demurrer. On August 28, 2026, Plaintiff filed an opposition. On September 3, 2026, Defendant filed a reply.

LEGAL STANDARD:

Meet and Confer

;

Prior to filing a demurrer, the demurring party is required to satisfy their meet and confer obligations pursuant to Code of Civ. Proc. §430.41, and demonstrate that they so satisfied their meet and confer obligation by submitting a declaration pursuant to Code of Civ. Proc. §430.41(a)(2) & (3).

Here, the parties met and conferred on May 11, 2026 via Zoom call. (Declaration of Tami Kay Lee ¶ 2.) This requirement is therefore met.

Demurrer.

2

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirดา (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context. In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) "A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. The only issue involved in a demurrer hearing is whether the complaint, as it stands, unconnected with extraneous matters, states a cause of action." (Hahn (2007) 147 Cal.App.4th at 747.) 3

3

When considering demurrers, courts read the allegations liberally and in context, accepting the alleged facts as true. (Nolte v. Cedars-Sinai Medical Center (2015) 236 Cal.App.4th 1401, 1406.) Courts also consider exhibits attached to the complaint and incorporated by reference. (See Frantz v. Blackwell (1987) 189 Cal.App.3d 91, 94.) 4

ANALYSIS:

Third Cause of

Action: Violation of Bus. & Prof. Code § 17200

Defendant contends this claim fails because Plaintiff failed to establish the unlawful prong by failing to plead violations of each subdivision of Ins. Code § 790.03(h). In particular, they contend Plaintiff's mere recitation of statutory language is insufficient. Defendant additionally contends the unfair prong fails because it is based on conclusory language, does not identify a legislatively declared public policy, and is limited to Plaintiff's specific alleged contractual breaches. Next, Defendant contends this claim fails the fraudulent prong because there is no public-facing conduct likely to deceive, no duty to disclose.[1] Finally, Defendant contends this claim is derivative of the first two causes of

action and fails to allege a distinct economic injury.[2]

Plaintiff argues that they sufficiently stated this claim. The unlawful prong is sufficient because they have a common law bad faith claim in addition to statutory violations and Defendant imposes a nonexistent heightened pleading standard as well as an incorrect liability context. As to the unfair prong, Ins. Code § 790.03(h) is itself legislatively declared policy as well as Ins. Code §§ 790-790.10 and Civ. Code § 3289. Plaintiff alleged conduct likely to deceive to support the fraudulent prong, they alleged affirmative misrepresentation that a partial remediation payment satisfied the entire property damage claim, and there is no requirement for the conduct to be public-facing. The claim is not duplicative since it seeks separate remedies and he has standing since he has sustained economic injury.[3]

Defendant replies that Plaintiff's claims are barred as a prohibited end-run around Ins. Code § 790.03(h)'s bar against private rights of action and reiterate their arguments about insufficiency of the unlawful, unfair, and fraudulent prongs. They add that Plaintiff's alleged unpaid policy benefits do not independently establish an actionable UCL injury to confer standing.[4]

California Business and Professions Code

section 17200 prohibits "any unlawful, unfair or fraudulent business act or practice." (Bus. & Prof. Code § 17200; see Clark v. Superior Court (2010) 50 Cal.4th 605, 610.) A business practice is unfair when it offends an established public policy or when the practice is immoral, unethical, oppressive, unscrupulous, or substantially injurious to consumers." (Community Assisting Recovery, Inc. v. Aegis Security Ins. Co. (2001) 92 Cal.App.4th 886, 894.) A business practice is unlawful if it violates another law. (Berryman v. Merit Property Management, Inc. (2007) 152 Cal.App.4th 1544, 1554.) A business practice is fraudulent if "members of the public are likely to be deceived." (See Wang v. Massey Chevrolet (2002) 97 Cal. App. 4th 856, 871.) "A plaintiff alleging unfair business practices . . . must state with reasonable particularity the facts supporting the statutory elements of the violation." (Khoury v. Maly's of California, Inc. (1993) 14 Cal.App.4th 612, 619.)

"[F]irst party UCL actions based on grounds independent from [Ins. Code] section 790.03," are not precluded "[e]ven when the insurer's conduct also violates section 790.03." (Zhang

v. Superior Court (2013) 57 Cal.4th 364, 369(Zhang).) Put differently, a plaintiff may bring a UCL claim for independent conduct like false advertising and insurance bad faith. (Ibid.)

After reviewing the complaint, Plaintiff sufficiently stated a UCL claim. First, to the extent Plaintiff's claim is based on Ins. Code § 790.03(h), it is prohibited. (Zhang, supra, 57 Cal.4th at p. 384 ["[A] litigant may not rely on the proscriptions of section 790.03 as the basis for a UCL claim."]) On the one hand, Plaintiff appears to do that. (Compl. ¶¶ 28.) On the other hand, Plaintiff incorporated by reference prior allegations that allege bad faith conduct (i.e., breach of implied covenant of good faith and fair dealing). (Compl. ¶¶ 11.) Such conduct consisted of: ceasing communications with Plaintiff, representing partial payment for remediation work consisted of full payment, unilaterally closing the claim file repeatedly, and involving a 12-month suit limitation clause despite causing the delays. (Ibid.) This conduct, while it may also violate Ins. Code § 790.03, also supports a common law bad faith claim. This, in turn, supports a UCL claim. (Zhang, supra, 57 Cal.4th at p. 369.) Thus, for pleading purposes, Plaintiff sufficiently stated this claim.

Accordingly, the court OVERRULES Defendant's demurrer.

CONCLUSION:

For the foregoing reasons, the Court decides the pending motion as follows:

1. Demurrer

to the third cause of action is OVERRULED;

2. Defendant

to file their answer within 14 days of this ruling.

Moving party is to give notice.

IT IS SO ORDERED.

Dated: September 11, 2026 _____ Upinder
S. Kalra

Judge
of the Superior Court

[1]

“Under the UCL, it is necessary only to show that the plaintiff was likely to be deceived, and suffered economic injury as a result of the deception.” (Zhang, *supra*, 57 Cal.4th at p. 380.) Thus, Defendant incorrectly argues that Plaintiff must allege the public was likely to be deceived.

[2]

The court rejects this argument. “A UCL claim does not duplicate the contract and tort causes of action involved in bad faith litigation, where damages are central.” (Zhang, *supra*, 57 Cal.4th at p. 382.) Here, Plaintiff does not seek damages for this claim. (Compl. ¶ 31.) It is therefore not duplicative of the first and second causes of action.

[3]

Plaintiff argues no authority indicating the economic harm must be entirely distinct from damages recoverable on a breach of contract or bad faith theory.

[4]

The court rejects this argument. UCL standing is confined to “those actually injured by a defendant’s business practices.” (Schwartz v. Provident Life & Accident Ins. Co. (2013) 216 Cal.App.4th 607, 611.) Proof of lost money or property “may be shown in many ways” such as when they are “deprived of money or property to which he or she has a cognizable claim. . . .” (Ibid. [internal citations omitted].) In Schwartz, the plaintiff never made an insurance claim. (Id. at p. 611-612.) Thus, the Court held that he did not lose any money or property. (Ibid.) Here, Plaintiff did make a claim and alleges he did not receive the full benefits of that claim. (Compl. ¶¶ 10, 11, 12.) This is sufficient economic injury to confer UCL standing.